



## The Prebisch-Singer Hypothesis : A Recent South Asian Perspective

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**Abstract :** *This paper seeks to investigate the relevance of the Prebisch-Singer Hypothesis in the last three decades, focusing on the South Asian countries. After a brief description of the hypothesis itself, the literature on the empirical testing of the theory is reviewed; where there is no clear consensus to be found regarding the matter. The framework for the paper is a simple, observation-based study. Using a suitable indicator for the terms of trade of each country (in this case, the IMF's Commodity Terms of Trade Index), the trend in the indicator is plotted over the years. Then, using detailed export-import data, the authors find out and compare how closely the trade in these countries takes place according to the Prebisch-Singer doctrine. It is concluded that while there is no evidence to support the hypothesis between rich and poor countries, there is still a similar trading pattern and decline in terms of trade amongst the developing countries themselves.*

**Keywords -** *International trade, Prebisch-Singer hypothesis, Exports, Imports, Commodity terms of trade, Trade partners*

### INTRODUCTION

The textbook theories of trade, such as those of Adam Smith's absolute advantage, Ricardo's comparative cost advantage, or the factor endowment-comparative advantage Heckscher-Ohlin trade theory paint a rather convenient picture of the trading process (Sodersten 1970).

After the Second World War, when development became the core agenda, and the Global North wanted to help the LDCs (less developed countries) with growing their

economies, trade along the lines of these well-worn theories was the oft-suggested solution. They had been applied with some success to developed nations. However, it was soon pointed out by Raul Prebisch in the case of the Latin American countries, simply trading along the lines of comparative advantage did not solve the problem. It pointed to a 'secular decline in the terms of trade' in exporting primary commodities for the less-developed nations, when trading with a developed nation along with the lines suggested by standard trade theory (Salvatore 2013). It was also pointed out that playing to the comparative cost advantage hindered, rather than helped in the growth of the countries' industrial sector, the apparent goal of the program.

For the last two centuries, two theories about the development of terms of trade have dominated economic thought. The first one is the British school and the second one, the Structuralist school, is related to the work of economists Raul Prebisch and Hans W. Singer.

The British school has its roots in English classical economics. They believed that terms of trade would move against the industrial countries exporting manufactured goods and in favour of underdeveloped countries exporting primary commodities. The belief came from assuming increasing returns in industrial goods that would lower their prices and decreasing returns in primary articles that would raise their prices. The implication of this idea was that the underdeveloped countries of the Global South could enjoy the fruits of technical progress taking place in industry through free trade and specialization in primary production, without going for industrialization.

Contrary to the British school, according to Prebisch (1962) and Singer (1950), the terms of trade tend to move against the developing countries exporting primary articles and in favour of developed nations exporting manufactured commodities. The fruits of productivity gains due to technical progress may be distributed either to producers (workers) in the form of rising incomes (wages) or to consumers in the form of lower prices. The productivity gains in developed countries are passed on to workers in the form

of higher wages and income, while the productivity gains in developing countries are passed on to consumers in the form of lower prices (Sodersten 1970).

The different response to productivity gains is because of strong labour unions in developed countries pushing for higher wages and keeping costs of production and prices unchanged. Owing to the nonexistence of labour unions in developing countries due to surplus labour, most of the productivity gains there are reflected in lower production costs and lower prices.

Thus, developing countries face a secular deterioration in their terms of trade, paying a higher price for manufactured goods (imports) and receiving lower prices for their primary commodities (exports). The Prebisch-Singer hypothesis or the secular deterioration hypothesis argues that over several decades or so there has been a persistent decline in the commodity terms of trade of underdeveloped countries. Another reason for the declining terms of trade of developing nations is the higher income elasticity of demand for manufactured goods than that for primary goods (Salvatore 2013).

This paper tries to understand and analyse the terms of trade for primary commodities in the case of South Asian countries taking a recent time-frame; and whether they conform to or break away from the Prebisch-Singer hypothesis of a TOT decline in the case of developing countries.

## **MAJOR ISSUES FROM REVIEW OF LITERATURE**

The opinion of scholars regarding the empirical validity of the Prebisch-Singer hypothesis is divided, and it is safe to say that the jury is still out on the matter. To be fair, empirical tests have usually negated the hypothesis, or otherwise returned inconclusive results. An early example of this is the empirical test by Grilli and Yang (1988) while showing a negative deterioration in terms of trade, does not match the magnitude of decline predicted by the theory and price movements of the primary commodities are largely inconclusive. This remains true even very recently, as Fahmy (2021) empirically tested their data set again using updated data, and still the evidence was inconclusive

in supporting the Prebisch-Singer hypothesis. Studies like Cuddington (1992) reaffirm that the hypothesis cannot be considered as a stylized fact or a universal phenomenon. However, Rabah et al. (2013) claim empirical validity, where the trends in relative commodity prices were seen to affirm the same. Recent literature has also factored in the impacts of external effects on commodity prices and terms of trade. The role of foreign direct investment (FDI) in this regard was explored by Wacker (2011) and followed by Wacker, Grosskurth, and Lakemann (2014) and it was found that FDI had a positive impact on TOT apart from South Asia where there was a negative effect on TOT, providing support to the Prebisch-Singer hypothesis. Chakraborty (2012) raises questions regarding the hypothesis, showing how developing nations were able to change their basket of export goods from primary commodities to manufactured goods, with the help of economic unions among themselves; although there remained a secular decline in the terms of trade. Thus, the literature can deliver no final verdict regarding the extent to which the Prebisch-Singer hypothesis is reflected in reality.

## **OBJECTIVE**

The objective of this paper is to look at the trend in the terms of trade over time concentrating on the countries in a specific region (specifically the eight member nations of the SAARC1) and then to test that against the Structuralist theory. The authors trace out the terms of trade over thirty years (1990-2019), taking a suitable index which takes into account prices of a definite bundle of primary commodities. This is combined with an analysis of the direction of trade of each country over the same time period to get a more complete picture of trade, helping in fleshing out the extent to which the Prebisch-Singer hypothesis is still relevant in these countries.

## **DATA AND METHODOLOGY**

For the study, the authors have taken available data from the IMF database on primary commodity prices. The country-specific Commodity Terms of Trade index used have been formulated by IMF economists Bertrand Gruss and Suhaib Kebhaj (Gruss and

Kebhaj 2019). The desirable indicator among the various alternative indices was found to be the Commodity Net Export Price Index [Individual Commodities Weighted by Ratio of Net Exports to GDP]. In this particular index, the weight of each commodity is given by the share of net exports of that commodity in aggregate output. Using net exports to weight individual commodities ensures that price variations of imported commodities are taken into account.

The index takes into account the commodity prices of 45 primary commodities across four broad classifications of energy, metals, agricultural raw materials and food and beverages as given below:

1. **Energy:** coal, crude oil, and natural gas
2. **Metals:** Aluminium, copper, gold, iron ore, lead, nickel, tin, uranium, and zinc
3. **Food and beverages:** bananas, barley, beef, cocoa, coffee, corn, fish, fish meal, groundnuts, lamb, olive oil, oranges, palm oil, poultry, rapeseed oil, rice, shrimp, soybean meal, soybean oil, soybeans, sugar, sunflower seed oil, swine meat, tea, and wheat
4. **Agricultural raw materials:** cotton, hard logs, hard sawn wood, hides, natural rubber, soft logs, soft sawn wood, and wool

For data on trade composition and partners of these eight countries, the authors have relied on the World Integrated Trade Systems (WITS) website curated by the World Bank (for data from 1990-1999), and the Observatory of Economic Complexity (OEC) (for data from 2000-2019). OEC and WITS data presents detailed information about exports and imports of each country. It provides the dollar value magnitude of trade (exports and imports) and the composition of that trade into different commodities, in percentages of total value as well as the share of trade each trading country enjoys with that country (both as a destination for exports and as an origin of imports). The data used in this paper are available in the public domain and no explicit permission was needed for using it.

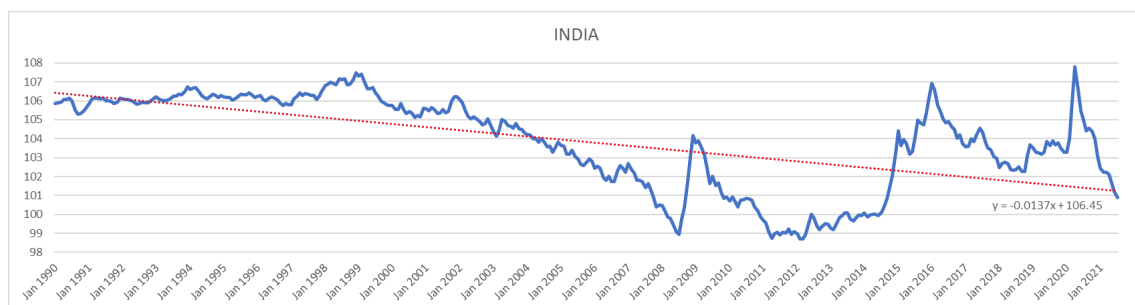
Eight South Asian countries have been considered for the study purpose viz. India, Bangladesh, Pakistan, Sri Lanka, Nepal, Afghanistan, Bhutan and Maldives. Using MS Excel, the authors have plotted the Commodity Terms of Trade data for each country for a time period of 30 years (1990-2019).

The data on terms of trade was also compared with export-import data of the chosen countries from the WITS and OEC websites.<sup>2</sup> Products and partners in trade were analysed to see how those have or have not changed over time.

## **TRENDS IN COMMODITY TERMS OF TRADE OF SOUTH ASIAN COUNTRIES**

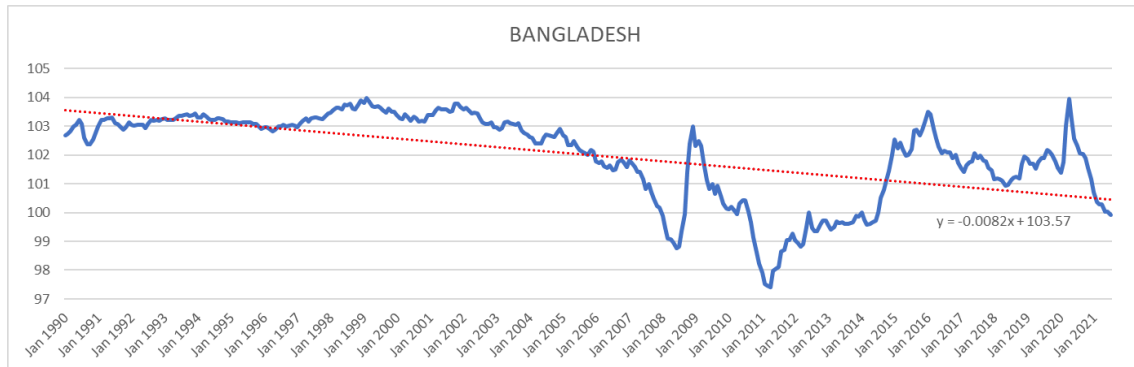
The following are the graphs plotted by the authors for each of the eight countries using data from the IMF website. The dotted red line indicates the trendline for the commodity TOT.

**Fig 1a: Commodity TOT of India**



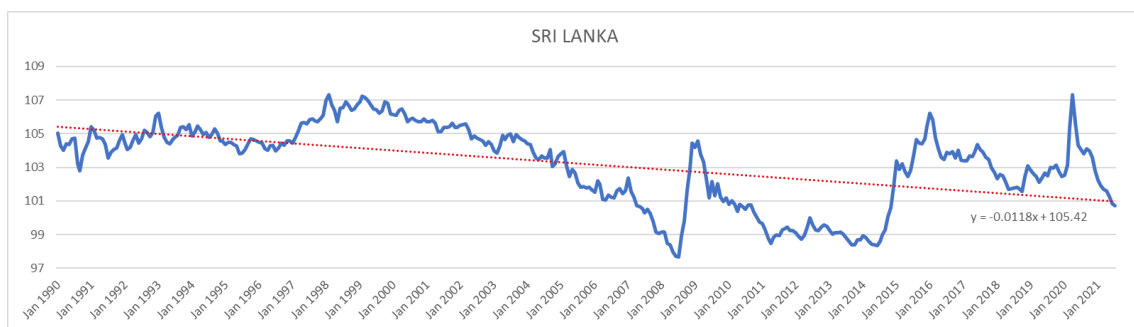
$$y = -0.0137x + 106.45$$

**Fig 1b: Commodity TOT of Bangladesh**



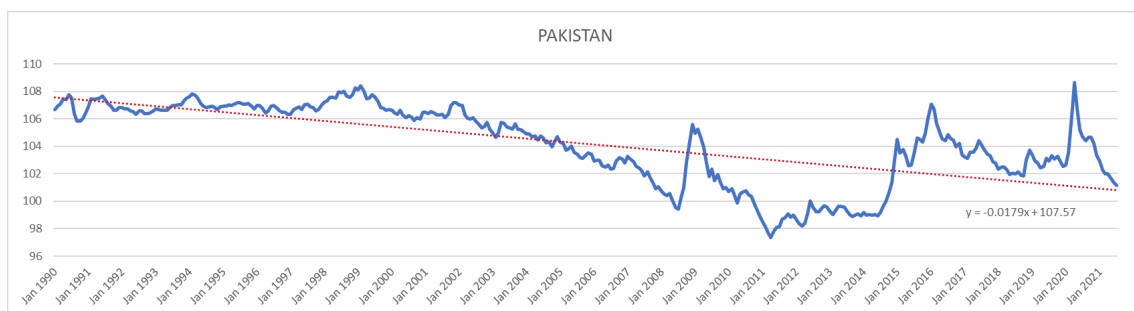
$$y = -0.0082x + 103.57$$

**Fig 1c: Commodity TOT of Sri Lanka**



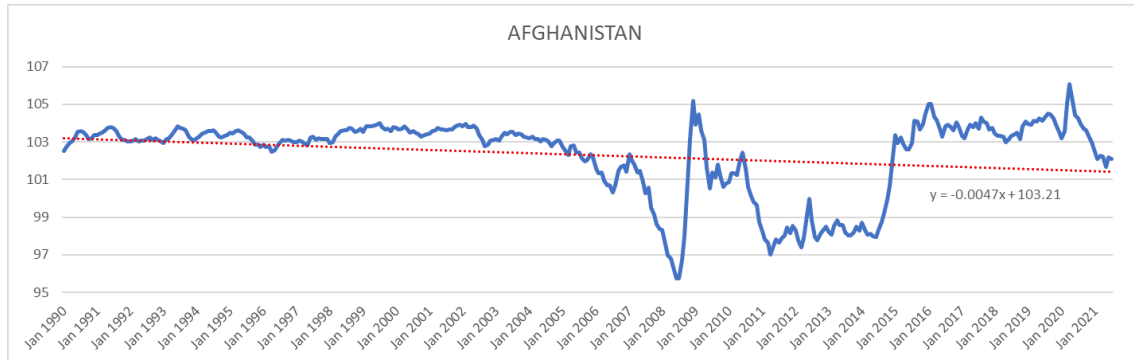
$$y = -0.0118x + 105.42$$

**Fig 1d: Commodity TOT of Pakistan**



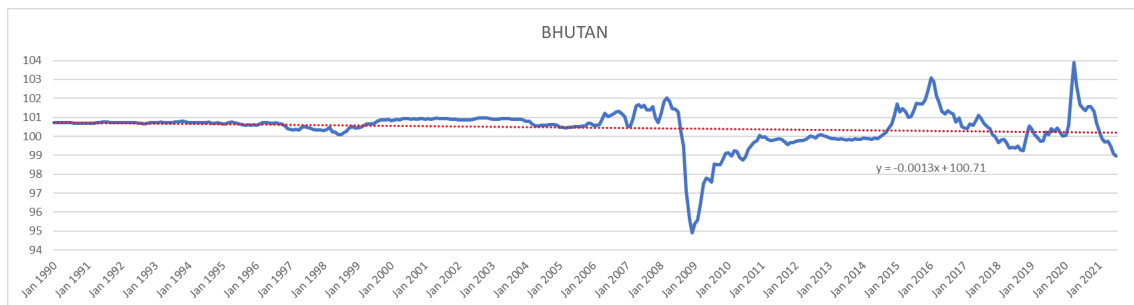
$$y = -0.0179x + 107.57$$

**Fig 1e: Commodity TOT of Afghanistan**



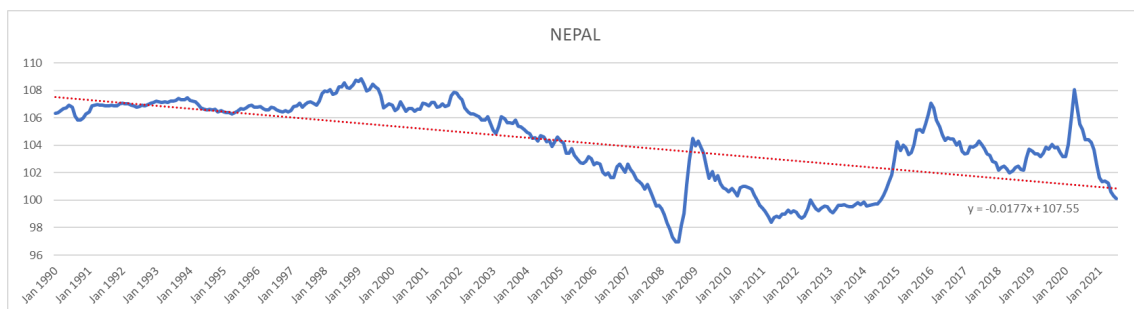
$$y = -0.0047x + 103.21$$

**Fig 1f: Commodity TOT of Bhutan**



$$y = -0.0013x + 100.71$$

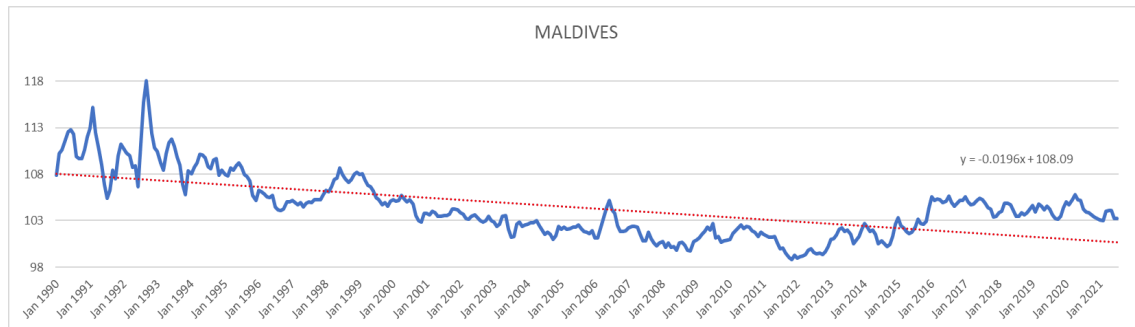
**Figure 1g. Commodity TOT of Nepal**



$$y = -0.0177x + 107.55$$



**Fig 1h: Commodity TOT of Maldives**



$$y = -0.0196x + 108.09$$

## RESULTS & DISCUSSION

A general negative trend in the commodity terms of trade can be observed in all of the eight South Asian countries during 1999 to 2019. However, there are variations in their rates. Most of the countries viz. India, Bangladesh, Pakistan, Sri Lanka, Maldives and Nepal (6 out of 8) show a relatively stronger negative trend in the commodity terms of trade. Afghanistan and Bhutan exhibit the weaker negative trends. Thus, the Prebisch-Singer hypothesis is *apparently* supported for all of these 8 South Asian countries during the considered period of time, insomuch as a decline in the terms of trade is considered. A closer look at the trade patterns and partners of these countries is required to get a clearer, nuanced picture.<sup>3</sup>

**INDIA:** From 1990 to 2021, there is a negative trend observed in India's commodity terms of trade. The recent export-import pattern of India was further examined and it was found that the USA is a major export destination of India. In 1990, imports (23,799 US\$ Mil) were higher than exports (17,940 US\$ Mil) for the country. Indian exports to the Soviet Union were worth US\$ 2,896 Million, a partner share of 16.14%, followed by the US with a partner share of 14.74%, Japan with a partner share of 9.34%, followed by Germany and UK. Imports were majorly from- the US worth US\$ 2,542 million (10.68%), Germany worth 1,907 US\$ million (8.01%), Japan worth US\$ 1,786 million

(7.50%), etc. The top 5 exports were Diamonds, iron ores and concentrates, cotton, black tea, etc. And petroleum oils, gold, coal, etc were chief imports. Around 2011, UAE topped the export destination list; however, since 2012 it has been the USA. In 2019, major destinations were the United States of America (13.5%) and UAE (9.03%). In the 2000s, USA (20.8%) was the major importer followed by Hong Kong (5.96%), UAE (5.19%), UK (5.69%) and Germany (4.46%). This shows that Indian exports were not limited to Asian continent but accessed a wider region. And the common exports in 2000 were Non knit/ crocheted apparel and clothing accessories (8.18%), cotton (5.54%) and iron and steel (3.57%). There has been a considerable change in the composition of commodities over the decades as seen above. During 2000s, USA was a major importer for India; however, China took over and continues to be the prime importer covering 15.3% of the total imports in 2019. Import of machinery and appliances (13.1% in 2000) reduced (to 10.4% in 2019) and mineral fuels, mineral oils and products of their distillation (15.6% in 2000) increased (to 30.3%). Simultaneously, most of the Asian developing countries replaced other countries in imports. This may be explained by the various cooperation measures among the South Asian countries in different areas, including trade.

**BANGLADESH:** Bangladesh experienced a negative trend from 1990 to 2021 in commodity terms of trade. The country's textile and clothing sector mainly contributed to its exports, accounting for 70.04% of it in 1990. In over a decade, the country has expanded its revenue by 10%. In 2000, around 44.4% of exports accounted for non-Knit/ crocheted accessories, and Knitted clothing accounted for 27.6%. The major export destinations in 2000 were the United States (36.7%) and Germany (10.9%), while India accounted for 1.3%. Their imports were distributed among Raw Cotton (3.58%), Refined petroleum (4.52%), Scrap Vessels (1.31%) to Wheat (1.36%) in 2000. Countries like China (11.6%) and India (9.15%) were the major importers to Bangladesh. In the last two decades, Bangladesh hasn't seen a significant change in the composition of goods, as in 2019, knitted or crocheted apparel still accounted for 44.6% and non-knit accessories for 42% of exports. The top export destinations were Germany (14.2%), United Kingdom (8.31%) and United States (14.5%), while India accounted for 2.53% in 2019. Other than

its proportion, the imports and trade partners have also remained the same. China has managed to increase its exports to 31.1% and India to 14.8%. This relation depicts how Bangladesh's trade is not limited to the Asian region and also touches some European countries and the United States. Moreover, it also shows how political differences can affect the trade relation, as prevalent in the India-Bangladesh scenario.

**SRI LANKA:** Sri Lanka's commodity terms of trade exhibits a significant downward trend. The nature of its exports fits neatly into one half of the Prebisch-Singer hypothesis, in that apparel and beverage crops such as tea form a major part of Sri Lanka's exports (around 60-70% at any time), consistently over the entire period under study, with major destinations for export remaining the US, European countries, and Japan while India increasingly becomes more prominent over time, but never overshadows the developed countries. Sri Lanka's main imports over time have remained fairly constant, manufactured goods such as vehicles, various machinery and appliances and processed mineral products occupying close to 35% of the imports. India and China have enjoyed a significant rise in the share of imports supplied, as previously, Sri Lanka imported goods from various East Asian countries apart from these two nations, but by 2019, there is an overwhelming dependence on India and China (nearly 50%). India's imports to Sri Lanka have gone from below 9% in the period from 1990-2000 to around 24% and above in 2019 while China rose from 4.45% to 23% in the same time span. The interesting observation for this case is that, even if trade is between developing countries, the pattern of trade remains as that identified by the hypothesis, there is a decline in the TOT regardless. However, for Sri Lanka, the developed nations play a key role as far as export markets are concerned.

**PAKISTAN:** Pakistan's exports have increased significantly over the study period. Similarly, the export composition of the country has also changed. In Pakistan's case, primary commodities are mainly exported to developed countries. In the very early years, Pakistan had fallen under the category of underdeveloped producers, exporters of primary products and heavily dependent on climatic conditions (Zaidi, 2000). In 2019,

the exports of Pakistan are majorly agricultural products viz. house linens (13.2%), heavy pure woven cotton (3.5%), light pure woven cotton (2.63%) and rice (8.46%) to countries like the US (14.4%), China (7.75%), Germany (6.71%) and UK (6.13%). Even in the 1950s most of the exports were made up of raw jute, raw cotton, raw wool, hides and tea. And the imports in 2019 were refined petroleum (8.9%), machinery and appliances (10%) and vehicles and parts (2.68%) mainly from China (27.9%), UAE (11.2%) and the USA (4.91%). Even in 2000, there has not been any significant variation in the export composition of Pakistan with similar export commodities. But here the USA (26.4%) was the major exporter followed by the UK (8.14%), Hong Kong (6.63%), Germany (6.35%) and China (5.96%). In 2000, machinery and appliances constituted 16.6% of the total \$6.76B worth of imports, vehicle and their parts (5.43%) and plastic and articles thereof (5.42%). China (9.26%) was the largest importer followed by Japan (8.92%), South Korea (5.97%) and Malaysia (5.85%). Although Pakistan has many trade partners, their imports and exports are concentrated in a few countries. Commodity terms of trade of Pakistan exhibits a downward trend (as observed in the graph, -0.0179), which may support the Prebisch-Singer hypothesis and hence complement the findings.

**AFGHANISTAN:** There has been a constant negative trend in Commodity terms of trade in Afghanistan during the previous two decades due to exports consisting of primary articles and imports of capital-intensive goods. The most recent exports (2019) led by Gold (43.2%), Grapes (9.55%), Insect Resins (5.77%), Other Nuts (5.05%), and Tropical Fruits (4.35%) does not show a major reduction in the share of Primary commodities in exports since the last two decades. The most recent (2019) destination for Afghanistan's exports are the United Arab Emirates (44.8%), Pakistan (24.3%), India (21.6%), the United States (1.59%), and China (1.3%). UAE and Pakistan, the top destinations of exports of Afghanistan, were not on the scene in 2000, and the share of exports directed towards developed countries has decreased. The most recent imports of Afghanistan (2019) led by electrical machinery and equipment (10.2%), Mineral fuels, Mineral oils and products of their distillation (7.26%), vehicles and their parts (7.25%), etc. does not show a reduction in the imports of manufactured goods. The share of imports received

from developing countries shows an increase, with UAE and Pakistan being the top import sources contributing 23.4% and 17.1%, respectively. Thus, trade with developing countries has increased, but the share of primary articles in exports and manufactured goods in imports have not reduced, possibly hampering an increase in the TOT.

**BHUTAN**: Bhutan is identified predominantly with a rural population highly dependent on agriculture. According to IMF data, there has been a negative trend in the Commodity terms of trade. Overall, India has played a significant role in importing primary commodities from Bhutan and exporting Semi-manufactured goods to Bhutan in the last ten years. Southeast Asian countries like Thailand and Singapore added to Bhutan's imports while countries like Japan and South Korea could not maintain their imports to Bhutan. In 1990, the fuel sector contributed around 30% to Bhutanese trade, increasing to 40% by 2000. There is a consistently high proportion of primary good exports like Carbides (30.5%) in 2000 and Ferroalloys (54.9%) in 2019 while imports are of manufactured goods such as Cars (8.87%) and Delivery Trucks (8.08%) in 2000 and Refined petroleum (17.5%) and Iron Reduction (5.7%) in 2019. Given the relation, Bhutan's trade and its economic condition are limited to few countries in the sub-region, mainly India, Hong Kong and Bangladesh and very few outsiders of it.

**NEPAL**: Nepal shows a significant decline in its commodity terms of trade over the period of study, and presents an interesting case. Over the last 20 years, India has both grown to be a major export destination and also chief import source for Nepal. To put it into perspective, in the mid-1990's, India was the market for 11.48% of Nepal's exports, behind Germany which received 52.6%; in 2000, India accounted for 39.7% of Nepal's exports, with the US a close second at 28.4%; by 2019, India accounted for 67.6% of the Nepal's export market, with the US the closest at a measly 10%. From the mid-1990's itself, India was a major player in imported goods to Nepal, even if not overpoweringly so. In the period leading up to the 2000s, Nepal received 20-30% of its imported goods from India, with China and Singapore supplying around 15% and 10%, respectively. This has changed, and now India is responsible for a whopping 70.2% of

Nepal's imports. The trend in the types of goods has shown a slow gradual shift, but the major component of exports has remained more-or-less constant in Nepal. Fabrics and textiles form the central pillar for exports in the country, accounting for about 83% of product exports in 1994; and till 2019 still accounted for about 40% of exports, the largest share of any product in export. Animal and vegetable fat products, minerals (iron), tea and other primary products form the other consistent mainstays of Nepal's exports over the years. Manufactured products such as various machinery, appliances, processed mineral and petroleum products, pharmaceuticals and others have remained Nepal's chief imports during this timeframe. This is one of the starkest cases where, even though trade with the developed world shrinks for the country, the TOT still declines, and this points to the composition of trade as being more responsible for the observed phenomena, rather than the economic disparity between countries.

**MALDIVES:** The mixed economy of the Maldives is based primarily on fishing, tourism, and shipping. Maldives has been facing constant and unfavourable terms of trade as per the IMF data. As an island, the Maldives has an advantage in sea products. The trade of Maldives shows a higher proportion of primary good exports like Animal (39.51%) and Food Products (35.03%) in 1995 and Textiles and Clothing (46.15%) in 2000. It also shows dependence on imports of manufactured goods with Machinery and Electronics being the top imports having a share 21.32% in 1995 and 18.29% in 2000. From 1995 to 2000, the top export destinations for the Maldives were the same, mainly developed nations, with the USA being the top destination in 2000 replacing the UK. The import-origin countries were mainly developing nations led by Singapore for five years. The top exports of Maldives in 2019 of Fish Fillets (25.5%), Non-fillet Frozen Fish (23.7%), Non-fillet Fresh Fish (16.1%), Processed Fish (14.1%), and Petroleum Gas (12%) show an increase in the share of animal Products and decrease of textiles since 2000. It also clearly shows that primary commodities dominate the export basket. The export destinations in 2019 led by Thailand (23.5%), United States (12.6%), China (12%), France (11.1%), and Germany (10.5%), shows a reduction in the share of exports directed towards the USA since 2000 but not any significant change in the share of exports

directed towards developed countries. The most recent imports of Maldives (2019) led by Mineral fuels, mineral oils and products of their distillation (19%), Machinery and appliances (10.5%), and Electrical machinery and equipment (7.9%) show an increase in the import of capital-intensive goods since 2000. The main import partners for the Maldives in 2019 are mainly developing countries led by United Arab Emirates (24%), China (15.8%), Singapore (14%), India (10.5%), and Malaysia (5.93%). Thus, exports of primary commodities to developed countries and import of capital-intensive goods from mainly developing countries can be seen as contributing to deteriorating terms of trade of Maldives, in line with the hypothesis' claims.

As can be seen from the trade compositions, especially for the landlocked countries, regional cooperation plays an important role in trade. There has been a noticeable rise in the thirty years in the participation of neighbouring countries as well as SAARC member nations in the trade (both as export markets and import sources) pertaining to the countries under consideration. From this, we can infer the effect that trade liberalisation has had through agreements like the SAPTA (SAARC Preferential Trading Agreement), which came into force in 1993; later developing into the South Asian Free Trade Area (SAFTA) agreement in 2006. Compared to other regional economic unions, intra-regional trade between the South Asian countries was abysmally low. Political instability, protectionism and wide disparities in terms of market size of these countries diminish the advantage of geographical proximity in trade. SAPTA and SAFTA were enforced with an objective of harmonizing such issues and promoting regional inclusiveness. An interesting detail to note, in almost all countries we find an increase in China's participation in their trade, showing China's rising global economic prominence over the last three decades. The steady involvement, throughout the period of study, of developed economies, especially the U.S., European countries (Germany) and a few East Asian countries like Japan and Singapore in trade, especially as export markets and in some cases, importers of manufactured goods reveals the persisting reliance of South Asian economies on them for economic progress. Thus, even as regional cooperation increases, the importance of



developed economies in the context of trade with developing countries remains significant and necessary.

From the graphs and the trade patterns as explored above, the following is observed. India, Bangladesh, Sri Lanka, Nepal and Pakistan follow for the most part, a very similar trajectory throughout the chosen time period. All economies except Maldives experienced severe fluctuations in commodity terms of trade during the 2008-09 global Financial Crisis. This was followed by another persisting downturn starting from 2011, lasting for about three years for the countries under consideration (with the exception of Bhutan and Maldives). From 2016-17 all countries (barring Maldives), began to see a positive trend in the terms of trade, with milder fluctuations leading up to the pandemic period. The Global Financial crisis resulted in the price of primary commodities fluctuating sharply (Chandrasekhar and Ghosh 2008) which are most likely responsible for the initial large deviation in the data. The examination of trade data has revealed that, despite gradual increases in production of manufactured goods, most of the South Asian countries have a significant portion of their exports accounted for primary consumer goods, raw materials and minerals. This explains the extent to which the commodity terms of trade are affected by fluctuations in prices of primary commodities. Bhutan, has the stable TOT, and Maldives, which has movements largely separate from the other countries; are cases where the overall trade basket has changed very little. By the end of the study period (pre-pandemic), most countries were looking at positive movements in TOT but Maldives maintained a secular decline. Thus, the goods basket for exports and imports suggested by the hypothesis still plays an important role in determining the movements of the Commodity Terms of Trade.

## **CONCLUSION**

This study set out to examine the relevance of the Prebisch-Singer hypothesis amongst South Asian countries during the last three decades. Findings reveal that while there is indeed a negative trend (of varying magnitudes) in the commodity terms of trade, further investigation into the composition and direction of imports and exports revealed a



more complex story. For the last 30 years or so, the South Asian countries, still is a major source of supply of primary goods to developed countries, focused on trading with their nearby neighbours as well as using each other as a source of manufactured goods. This leads to the conclusion that the Prebisch-Singer hypothesis analysing TOT decline can be applied to trade between developing/ newly industrialised countries, where the problem is inherently in the composition of the exports and imports and lack of diversification thereof and not the ‘developing-developed’ disparity, as seen in the analysis- most countries trade in a pattern of primary exports to manufactured imports, but with countries which are economically comparable, or in geographical proximity. Thus, although the Prebisch-Singer hypothesis is far from wholly validated by these findings, it opens up the possibility of applying the hypothesis in a more contemporary paradigm, looking at the trade baskets of developing countries, and finding a way out of unfavourable terms of trade situations.

## **ENDNOTES**

1. South Asian Association for Regional Cooperation
2. For the countries Pakistan and Afghanistan, trade composition data for the 1990s was not available from the chosen data sources. 1990s data is not available throughout for the countries for which it is there.
3. The Appendix to the paper contains diagrammatic representations of the countries’ trade composition and partners, in reference to the descriptions. All the diagrams are taken from the OEC website (WITS data is not represented in a similar diagrammatic manner, and is not given here.)

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## APPENDIX (Diagrams)

Fig 2: India – (a) Export partners (2019); (b) Import partners (2019)

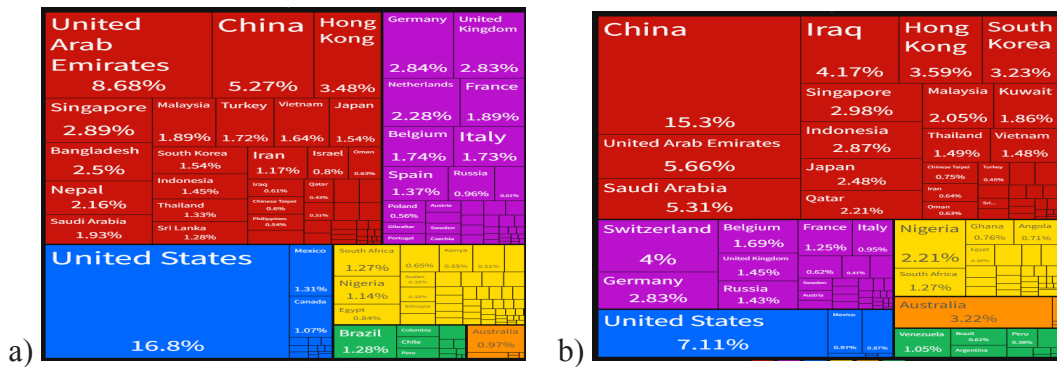


Fig 3: Bangladesh - (a) Exports (2000); (b) Export partners (2000)

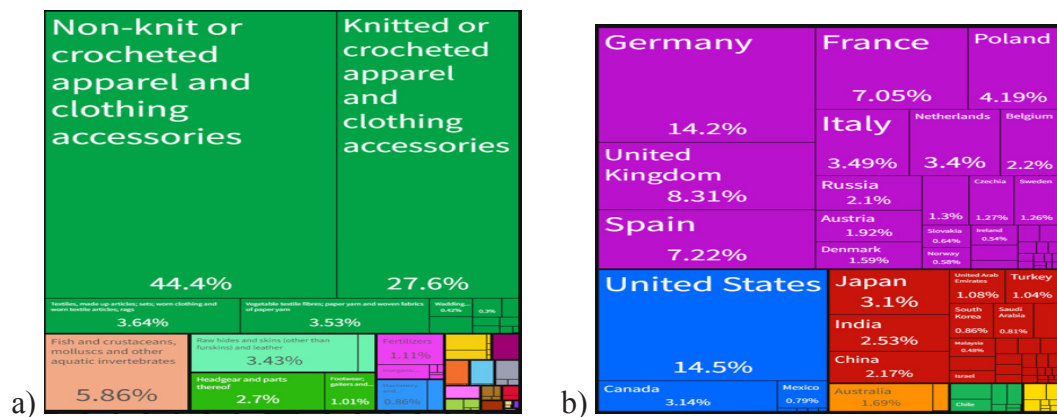
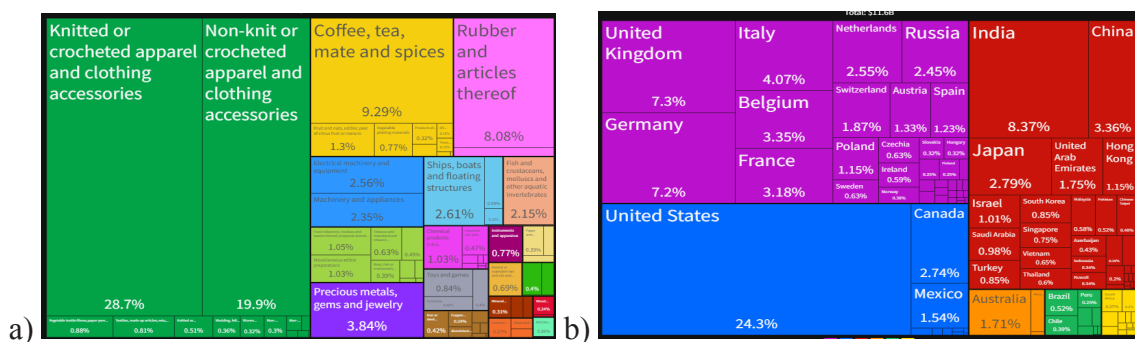
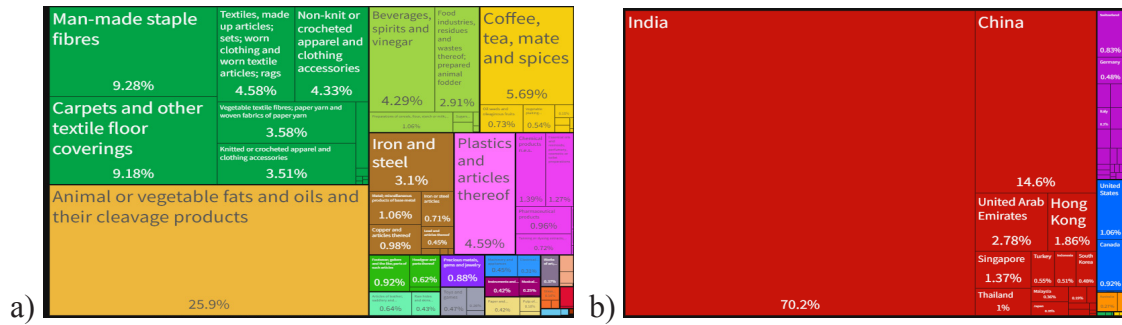


Fig 4: Sri Lanka - (a) Exports (2019); (b) Export partners (2019)





**Fig 8: Nepal - (a) Exports (2019); (b) Import partners (2019)**



**Fig 9: Maldives – (a) Exports (2019); (b) Import partners (2019)**

